

The University of Zambia
Department of Economics
ECN 1215: Introduction to Macroeconomic Theory
2018/2019 Academic year
Tutorial Sheet 1: Study and Methodology of Macroeconomics

Lecturer: Dr Ng'andwe C

Tutors: Margret Mbewe and Chilufya Chisanga

QUESTION ONE:

Define the following:

- (a) Economics and explain its two branches. How do economic systems solve the problem of what to produce, how to produce and for whom to produce?
- (b) Scarcity
- (c) Law of diminishing returns
- (d) Opportunity cost
- (e) Production Possibility Frontier (PPF)
- (f) Comparative advantage
- (g) Endogenous variables
- (h) Exogenous variables
- (i) Differentiate real GDP and nominal GDP

QUESTION TWO

The following information was obtained from milk and cheese economy. Plot the PPF and answer the questions that follow.

Milk	Cheese
50	0
44	18
34	34
20	48
0	60

- (a) State which points are feasible, unattainable and efficient?
- (b) What is the opportunity cost of producing the first 18 output of cheese?
- (c) The slope of the PPF can be viewed as the opportunity cost. True or false? justify

QUESTION THREE

- (a) State whether each of the following statements is positive or normative in economics and briefly explain why
 - (i) If the Zambian government lowers taxes, it will result in lower revenues collected
 - (ii) Primary healthcare in Zambia should be free for all citizens to enjoy good health
 - (iii) If Zambia GDP grows, poverty levels will drastically reduce
 - (iv) If banks in Zambia reduce interest rates, investment spending will rise
 - (v) Government must take care of vulnerable citizens in society such as orphans and the old
 - (vi) Increase in disposable income will lead to increased demand for goods and services

QUESTION FOUR

- (a) Indicate whether each of the following are included or not included in GDP and give a brief explanation to your answer
 - (i) Transfer payments
 - (ii) government purchases
 - (iii) imports
 - (iv) net international transfer payments
- (b) List the components of total spending on goods and services produced in the economy and summarize them by using an equation
- (c) Illustrate the circular flow of income and spending;
 - (i) between households and firms for an economy producing a single good
 - (ii) between the foreign sector and government, households and firms